

Excise duty/CVD as well as SAD have been abolished on parts and components for routers, broadband modems, set-top boxes, digital video recorders, network video recorders, lithium batteries, CCTV cameras and IP cameras. A differential duty structure has been created for routers, mobiles, set-top boxes, etc, with four per cent excise/CVD being levied without CENVAT credit and 12.5 per cent being levied with CENVAT credit.



“The government is driving Digital India initiative by exempting all earlier-applicable duty charges on DVRs and CCTV cameras.

This will make products cheaper and more affordable in the market, keeping in mind the consumer’s perspective. This offers a bright opportunity for existing industry players and encourages new entrants to make their presence felt in this segment, and to cater to the audience more efficiently.” —**Manish Sharma, president of CEAMA and MD, Panasonic India and South Asia**

“The change in the duty structure as proposed in the Budget 2016 will encourage manufacture of consumer premise equipment like modems, routers, digital video recorders, STBs for the Internet and IP cameras. I expect investments of about ₹ 100 billion for the local production of these devices. I expect their prices will go down by eight per cent in the first year, and by ten per cent in a year-and-a-half. With the incentive on finished goods with respect to CCTV cameras, assembly of these will begin to happen locally. As the pace picks up and scale develops, it will provide the necessary impetus for component suppliers to set up manufacturing units locally as well, just like the industry from Taiwan migrated to China 15 years back.

Not only the components for CCTV cameras, but also the sub-components used for manufacturing these components are exempt from duty. Hence, the compo-

nent manufacturer will enjoy duty exemptions, while the CCTV manufacturer pays two per cent on output.”

—**Nitin Kunkolienker, VP, MAIT**

“The situation in the case of digital video recorders, CCTV cameras, set-top boxes, etc, is similar to that of mobile phones. The government has abolished excise duty, which also includes the CVD as well as SAD on parts used for manufacturing these items.

“Further, the government has created a differential duty structure. So if manufacturers of these products claim CENVAT on finished products, they will have to pay 12.5 per cent but if they do not claim CENVAT, then they only have to pay four per cent. That means an 8.5 per cent advantage is provided to those who assemble/manufacture these products here. This incentivises assembly of the product, which is good at this stage but only for the short term, because the ultimate goal is to develop the entire ecosystem. To ensure that, component manufacturing needs to be incentivised.”—**Rajoo Goel, secretary general, ELCINA**

“Extending the benefit of concessional excise duty (at four per cent) to indigenous manufacture of specified IT hardware described as consumer premise equipment, which includes routers, broadband modems, set-top boxes for gaining access to the Internet and set-top boxes for TVs. Exemption to parts, components and accessories thereof for use in the manufacture of these products.”

—**Mahesh Jaising, partner at BMR & Associates, LLP**

A four per cent SAD has been imposed on populated PCBs used for the manufacture of personal computers (laptops or desktops), and a two per cent SAD has been imposed on populated PCBs for mobile phones/tablets.



“Import of populated PCBs by manufacturers of mobile phones/tablets now attracts a two per cent duty. This will have a positive impact on domestic manufacture of PCBs. However, companies that have already made investments in India, without factoring in the duty on the manufacture of the above-mentioned products, will incur an additional cost of two per cent.” —**Mahesh Jaising, partner at BMR & Associates, LLP**

“Introduction of SAD on populated PCBs is useful. The only issue here is that the SAD that is paid on populated PCBs is allowed to be adjusted over the excise duty on the finished product. So it may or may

not encourage buyers from sourcing it locally. However, those products that do not attract excise duty in India may be incentivised to get their populated PCBs assembled here. Benefits are not very quantifiable right now; some more analysis has to be made. But yes, there are some benefits and these will increase the business for EMS companies.” —**Rajoo Goel, secretary general, ELCINA**

“It is a good step. The government should completely discourage import of populated PCBs in the country. Populated PCBs should be taxed to the highest level, and so should be the family of components, because there is a huge potential to assemble these in India.